

COMPENSATION POLICY

Ver. 1.0

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Prepared by:	Head - Compensation and Benefits, HRSS, ER and Governance
Reviewed by:	CHRO
Approved by:	Board of Directors
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Classification	Internal



REVISION HISTORY

The Revision History Table below provides a record of all revisions made to this document throughout its life cycle. Updates are tracked by the date the revisions were made, the version number, a brief description of the changes made and reason, as well as the name of the reviser and the approver.

Effective Date	Version #	Change Description Reason	Prepared/ Revised by	Reviewed by	Approved by
16-Jan-26	1.0	New Policy	Head - Compensation and Benefits, HRSS, ER and Governance	CHRO	Board of Directors

Classification | INTERNAL

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DEFINITIONS

PFL – Poonawalla Fincorp Ltd.

TFP – Total Fixed Pay

VP – Variable Pay

ESOP – Employee Stock Options

NRC – Nomination & Remuneration committee

MD & CEO – Managing Director & Chief Executive Officer

CHRO – Chief Human Resource Officer

1.0 Objective

- To maintain fair, consistent and equitable compensation practices in alignment with Poonawalla Fincorp's (PFL) core values and strategic business goals.
- To ensure effective governance of Compensation and alignment of compensation practices with prudent risk taking.
- To ensure that the Compensation practices are within the regulatory framework stipulated from time to time.

2.0 Compensation Philosophy

- As a philosophy, the company aims to maintain a fair balance between the compensation rewards that are perceived as necessary to remain competitive in the marketplace and fairness to all stakeholders, considering the risks and returns over a period.

3.0 Scope

- This policy is applicable to all Full-time employees at PFL.

4.0 Governance of Compensation-

- The Company's compensation philosophy, structures, programs, and practices shall be governed by a robust and transparent governance framework designed to ensure alignment with the Company's business objectives, performance objectives, risk appetite, values, and applicable legal and regulatory requirements.

5.0 Forms of Compensation

- Compensation structure will comprise of Total Remuneration consisting of:
 - (i) Total Fixed Pay (TFP)
 - (ii) Variable Pay (VP), which includes Annual Performance bonus/Incentive, Long Term Incentive Pay in form of deferred cash bonuses, share-linked instruments (e.g. ESOP, etc.)
 - (iii) Other Payments, which include incident based (e.g. – On Joining, On Confirmation, On Annual Review etc.) cash Bonuses or share-Linked instruments.

5.1 Total Fixed Pay: TFP is defined as Fixed Cost to Company (FCTC) comprising of Basic Salary, Allowances, Retirals and other benefits.

5.1.1 Perquisite Pay/ Benefits: Perquisite Pay / Benefits include Mediclaim Benefit; Life Insurance Cover; Personal Accident Cover; Club Membership; Car Lease, Flexi Benefits. These may be given in the form reimbursement, within predefined limits, or in the form of benefit to all employees / select group of employees.

5.2 Variable Pay (VP): This includes Performance bonus/Incentive, Long Term Incentive Pay in form of cash bonuses, all share-linked instruments (e.g. ESOPS).

Variable Pay is linked to assessment of performance and / or potential. Performance assessment would be based on achievement of individual targets linked to KRAs for the year, Scorecards for the

role, and company's / Business's / Functions' budgets /targets/ objectives and achievements. Performance may also depend on the adherence to compliance norms and qualitative parameters such as PFL Values, Leadership Capabilities, etc.

5.3 Incident based Bonus / ESOPs: To attract the best talent from the market, this may be offered sparingly for recruitment of new staff. It can be in the form of Cash / ESOPS to be given on completion of a milestone (Joining, Confirmation, Annual Performance Review etc)

5.4 Restructuring: Compensation restructuring within existing Fixed pay can be approved by CHRO

6.0 Malus and Clawback

Malus and Clawback will be applicable as defined in the PFL Remuneration Policy

7.0 No Variable Pay / New Grants

- Under certain circumstances, the company may decide not to issue any new grants / approve any variable pay/ Incentive pay for the year, or for specific period, to an employee individually, or to a group of employees collectively, or to all employees.



8.0 Review and Revision

- Any exceptions to the policy shall be approved by the MD & CEO or authority delegated by MD & CEO.
- All reviews and amendments to this policy will be approved by NRC.

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